

DATA ANALYTICS PROJECT BRIEF

Project Title: Loan Risk & Customer Default Analysis

Company Background

You have recently joined CrediTrust, a financial services company that provides personal and business loans.

The company is experiencing increased loan defaults and challenges identifying high-risk customers.

Management seeks data-driven insights to improve decision-making and reduce risk.

Dataset Description

The dataset includes customer demographics, financial details, and loan information.

Variables include Customer_ID, Age, Gender, Income, Employment_Status, Loan_Amount, Loan_Term, Credit_Score, Previous_Default, Monthly_Installment, Loan_Purpose, and Defaulted.

Project Objectives

Improve data quality and prepare dataset for analysis.

Identify key drivers of loan default.

Segment customers based on risk.

Provide actionable business recommendations.

Project Tasks

Data Understanding & Preparation: Assess data quality and perform cleaning.

Descriptive Analysis: Analyze loan distributions and customer behavior.

Default Risk Analysis: Identify factors influencing default.

Customer Segmentation: Categorize customers into risk levels.

Business Recommendations: Suggest strategies to reduce risk.

Advanced (Optional): Propose predictive or rule-based systems.

Deliverables

Cleaned dataset

Analysis file (Python, Excel, Power BI, etc.)

Visualizations

Final report with insights and recommendations

Evaluation Criteria

Data cleaning quality

Depth of analysis

Insight clarity

Visualization quality

Business recommendations

Communication

Final Note

This project simulates a real-world scenario. Focus on generating actionable insights and business value.